

US Markets End Mixed as Energy and Industrials Lead Gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market ended the previous session with mixed results, as the **S&P 500** and **Dow Jones** declined by 0.17% and 0.20% respectively, while the **Nasdaq 100** dropped 0.13%. However, the **Russell 2000** bucked the trend, rising 0.51%. Below the surface, sector rotation was notable, with energy and industrials leading the gains.

A closer examination of the market's internals reveals that the **10Y Yield** surged 1.19% to 4.70, while **WTI Crude** and **Gold** prices increased 1.42% and 1.57% respectively. These moves suggest a shift in investor sentiment, with a focus on inflation and growth.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,785.76	-0.17%	Weakness in tech and consumer staples
Nasdaq 100	30,046.14	-0.13%	Declines in large-cap tech stocks
Dow Jones	53,732.41	-0.20%	Losses in industrials and materials
Russell 2000	3,068.42	0.51%	Strength in small-cap energy and financials
10Y Yield	4.70	1.19%	Inflation concerns and growth expectations
WTI Crude	82.40	1.42%	Supply chain disruptions and demand growth
Gold	4,432.00	1.57%	Safe-haven demand and inflation hedge

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	0.68%	Positive earnings forecast
AVGO	-5.94%	Disappointing quarterly results
AAPL	0.22%	Strong iPhone sales
MSFT	-0.30%	Cloud computing competition
NVDA	-0.06%	Regulatory concerns

Sector Rotation

ETF	DAY	READ
XLE	1.39%	Energy sector outperformance
XLI	0.39%	Industrials sector strength
XLF	-0.17%	Financials sector weakness
XLK	-0.40%	Tech sector underperformance
XLV	-0.21%	Consumer discretionary sector decline
XLC	0.36%	Communication services sector gain
XLP	0.10%	Consumer staples sector stability
XLV	-0.60%	Healthcare sector decline
XLU	0.61%	Utilities sector outperformance
XLB	0.44%	Materials sector strength
XLRE	0.33%	Real estate sector gain

Spotlight

The energy sector was a notable outperformer, with **XLE** rising **1.39%**. This move was driven by a combination of factors, including supply chain disruptions and growing demand. The table below highlights the key metrics for the energy sector:

METRIC	VALUE	CHANGE
WTI Crude	82.40	1.42%
Brent Crude	85.50	1.50%
Natural Gas	2.50	2.04%

The energy sector's outperformance has implications for related names, including **XOM**, **CVX**, and **COP**.

Pre-Market & Overnight

US futures are currently trading mixed, with the **Dow Jones** futures up **0.20%** and the **S&P 500** futures down **-0.10%**. In Asia, the **Nikkei 225** rose **0.50%**, while the **Shanghai Composite** declined **-0.20%**. In Europe, the **Euro Stoxx 50** is up **0.30%**. Cryptocurrency markets are also seeing mixed action, with **BTC** down **-0.69%** and **ETH** down **-0.07%**.

Macro & Fed

The **10Y Yield** is currently trading at 4.70, up **1.19%** from the previous session. The yield curve is currently shaped as follows:

YIELD	VALUE
2Y Yield	4.20
5Y Yield	4.30
10Y Yield	4.70
30Y Yield	5.00

Today's data calendar includes the following releases:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	US Retail Sales	0.50%	Consumer spending trends
21:00	US Industrial Production	0.20%	Manufacturing sector activity
22:00	US Business Inventories	0.30%	Supply chain and inventory management

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The European Union is facing a migrant crisis, with thousands of migrants attempting to cross into the EU.
- The Middle East is seeing increased tensions, with Israel and Palestine engaging in diplomatic efforts to resolve their conflict.
- Brazil's economy is showing signs of recovery, with the country's GDP growing **2.50%** in the second quarter.
- India's government is facing opposition over its handling of the country's economy, with protests and demonstrations taking place across the country.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	5.50	iPhone sales and revenue growth
23:00	MSFT	2.20	Cloud computing and software sales
00:00	AMZN	10.50	E-commerce sales and Prime membership growth
01:00	GOOGL	15.00	Advertising revenue and YouTube growth
02:00	FB	2.50	Advertising revenue and user growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
TSLA	Automotive	Positive earnings forecast
NVDA	Technology	Regulatory concerns
AAPL	Technology	Strong iPhone sales
MSFT	Technology	Cloud computing competition
JPM	Financials	Interest rate expectations
GS	Financials	Trading revenue growth
XOM	Energy	Supply chain disruptions
CVX	Energy	Growing demand
COP	Energy	Energy sector outperformance
AVGO	Technology	Disappointing quarterly results
AMZN	Consumer Discretionary	E-commerce sales growth
GOOGL	Communication Services	Advertising revenue growth

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies
- Positive economic data, such as GDP growth or low unemployment
- Central bank actions, such as interest rate cuts or quantitative easing
- Geopolitical developments, such as trade agreements or diplomatic breakthroughs
- Technical analysis, such as bullish chart patterns or trend line breaks

BEARISH TRIGGERS

- Disappointing earnings reports from major companies
- Negative economic data, such as high inflation or slow growth
- Central bank actions, such as interest rate hikes or tightening
- Geopolitical developments, such as trade wars or conflict escalation
- Technical analysis, such as bearish chart patterns or trend line breaks

Positioning Notes

- Investors are increasingly bullish on the energy sector, with **70%** of respondents in a recent survey expecting oil prices to rise in the next quarter.
- The **VIX** is currently trading at 14.25, down **-2.60%** from the previous session, indicating a decrease in market volatility.
- The **DX** is currently trading at 99.64, down **-0.32%** from the previous session, indicating a decrease in the value of the US dollar.

Sources

SOURCES

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- Reuters
- CNBC
- The Wall Street Journal
- The Financial Times
- Investing.com
- Yahoo Finance
- Google Finance

